

GS SUSTAIN

HK Green Week Takeaway & First Five-Year Plan Read-Across: Focusing on adaptation, transition and resilient supply chain

In September 2026, we participated in a series of events during Hong Kong Green Week, engaging with regulators and market stakeholders including the Hong Kong Monetary Authority (HKMA) and Hong Kong Green Finance Association (HKGFA), development institutions (World Bank, IFC and AIIB), as well as a broad range of global investors, corporates and policymakers. Across these discussions, Resilience is increasingly becoming the primary lens through which investors are assessing sustainability and long-term investment opportunities to safeguard supply chain stability. We believe this shift is being driven by three major macro shocks:

1. Ongoing tariff and trade measures across the US and Europe are prompting companies to rethink supply chains and manufacturing footprints.
2. Heightened geopolitical tensions in the Middle East have reinforced concerns around energy security, commodity prices and inflation.
3. Increasingly severe climate events, including storms, floods and droughts, are disrupting critical supplies of food, water, energy and raw materials.

Against this backdrop, we continue to see attractive investment opportunities across APAC companies exposed to our broader Reliability theme, including power and water infrastructure, climate adaptation and physical risk mitigation, critical materials and recycling, resource efficiency and automation, and technologies that help address skilled labor constraints.

In this report, we summarize our key takeaways from Hong Kong Green Week and provide a read-across from the recently published Hong Kong First Five-Year Plan, which we believe further reinforces several of the themes highlighted during the conference. We highlight 24 APAC Buy-rated stocks levered to the reliability theme.

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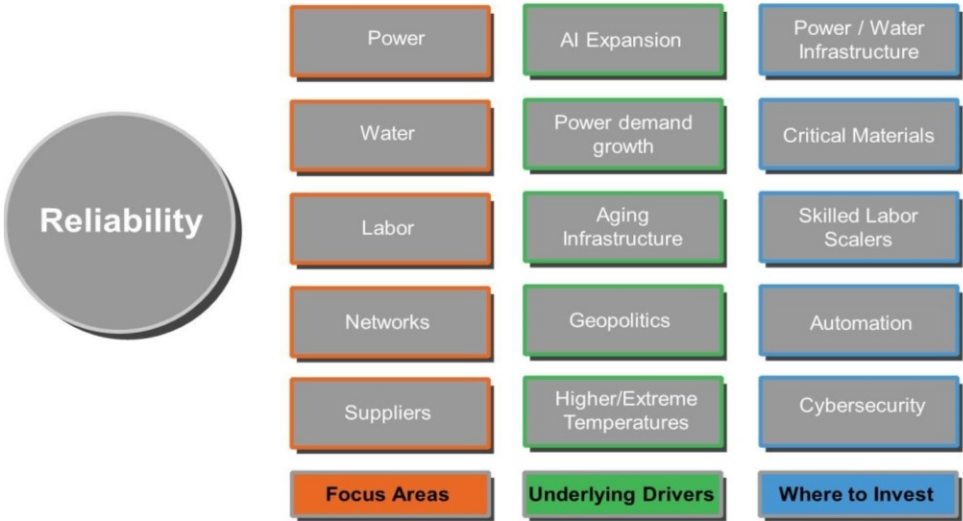
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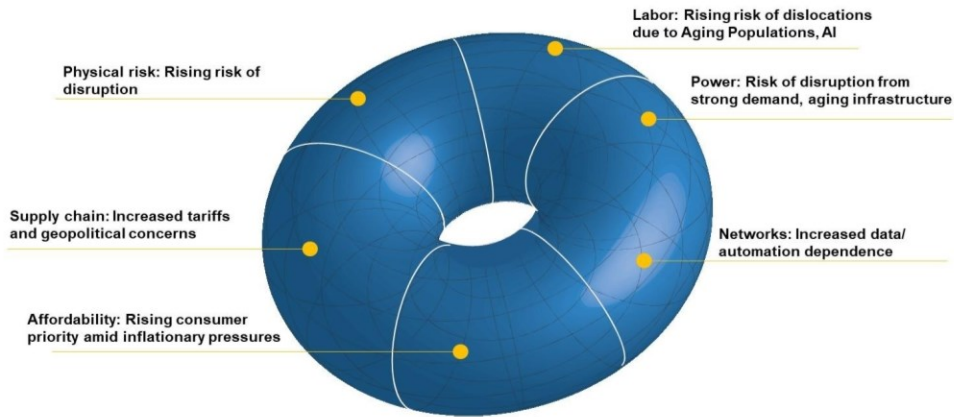
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Exhibit 1: Maintaining reliable power, water, labor, cybernetworks and supply chains is requiring greater investment driven by both growth and broader outage risk
Drivers and Where to Invest for the Reliability Theme



Source: Goldman Sachs Global Investment Research

Exhibit 2: As the global ‘Circle of Trust’ has narrowed, heightened risk of supply chain outages (more recently exacerbated by Middle East disruptions), power outages, network outages, physical risk alongside labor/affordability concerns are driving greater Infrastructure investment for redundancy building and risk mitigation



Source: Goldman Sachs Global Investment Research

Exhibit 3: We expect to remain in the sweet spot for Infrastructure and Risk Mitigation investment in 2026 with thematic investment defined by AI's Life Cycle Phase and perceived levels of supply outage risk

Impact to investment strategy based on whether AI is in Appraisal vs. Execution phase and the level of confidence in interdependency vs. need for redundancy of supply chains

'Circle of Trust' Size: Geopolitical and Corporate Risk Emphasis					
AI Life Cycle Phase	Appraisal	Wide: Interdependency		Narrow: Redundancy	
		Power/Water Infrastructure outlook	Positive	Power/Water Infrastructure outlook	Positive
		Tech spending impact from AI efficiencies	Unchanged or higher	Tech spending impact from AI efficiencies	Unchanged or higher
		Industrial expansion pace	Limited	Industrial expansion pace	Positive
		Power Demand outlook	Moderate growth	Power Demand outlook	Meaningful growth
		Labor flexibility	Balanced	Labor flexibility	Undersupply risk
		Critical Materials Urgency	Moderate	Critical Materials Urgency	High
		Investor focus on N-T Earnings vs. L-T value	Mixed	Investor focus on N-T Earnings vs. L-T value	Long-Term value
	Investor focus on Quality	Moderate	Investor focus on Quality	Modest	
	Execution	Power/Water Infrastructure outlook	Favorable	Power/Water Infrastructure outlook	Positive
Tech spending impact from AI efficiencies		Negative revisions	Tech spending impact from AI efficiencies	Negative revisions	
Industrial expansion pace		Limited	Industrial expansion pace	Moderate	
Power Demand outlook		Slight growth	Power Demand outlook	Moderate growth	
Labor flexibility		Risk of oversupply	Labor flexibility	Balanced	
Critical Materials Urgency		AI demand driven	Critical Materials Urgency	High	
Investor focus on N-T Earnings vs. L-T value		Earnings	Investor focus on N-T Earnings vs. L-T value	Mixed	
Investor focus on Quality		Elevated	Investor focus on Quality	Moderate	

Source: Goldman Sachs Global Investment Research

Building resilient supply chain in a fragmented world

Investor/Polymaker/Corporate focus during Green Week

Geopolitical fragmentation and the Reliability Imperative. A recurring theme across Hong Kong Green Week discussions was how a more fragmented and less trusted geopolitical environment is reshaping both corporate investment priorities and sustainability discussions. In our view, recent tariff actions, the shifting geopolitical landscape, and prolonged Middle East tensions have reinforced concerns around energy security, critical material access and supply chain reliability. These developments are accelerating a shift away from an efficiency-first model of globalization toward a resilience-oriented model that prioritizes redundancy, diversification and security of supply. This is consistent with our previous work on the Reliability Imperative, where we argued that a narrowing global “Circle of Trust” is increasing the willingness of governments, corporates and households to invest in redundancy across power, water, supply chains, labor and networks. Rather than relying on a single supplier, geography or energy source, stakeholders are increasingly seeking backup capacity, alternative sourcing channels and greater self-sufficiency to mitigate disruption risks.

Read-across from the First Five-Year Plan

HK’s First Five-Year Plan acknowledges an increasingly uncertain global trade backdrop marked by geopolitical tensions, protectionism and supply chain reconfiguration. Against this backdrop, Hong Kong is positioning itself as a high value-added supply chain management, trade finance and risk management hub supporting capital, goods and companies moving across Asia and globally. The plan explicitly highlights Hong Kong’s role in supporting Mainland companies’ overseas expansion, developing a high value-added supply chain services center, strengthening trade digitalisation and expanding commodity trading capabilities:

- **Supply chain services:** Expanding trade finance, treasury, logistics, legal and risk management services for cross-border supply chains.
- **Trade and logistics resilience:** Greater investment in ports, aviation, multimodal logistics and cold-chain infrastructure.
- **Commodity trading ecosystem:** Development of gold, metals and RMB-denominated commodity trading markets to strengthen Hong Kong’s role in critical material and trade flows.
- **Trade digitalisation:** Digital trade platforms, paperless trade documentation and supply chain digitalisation to improve efficiency and visibility.

Investment implication: We see this as supportive for logistics infrastructure, trade finance, supply chain technology and commodity trading ecosystems. More broadly, Hong Kong appears to be positioning itself as a beneficiary of the global shift from supply-chain efficiency toward supply-chain resilience.

Our outlook

We continue to see evidence that companies are investing more heavily in redundancy-building to secure supply chains. In our June 2026 analysis of public

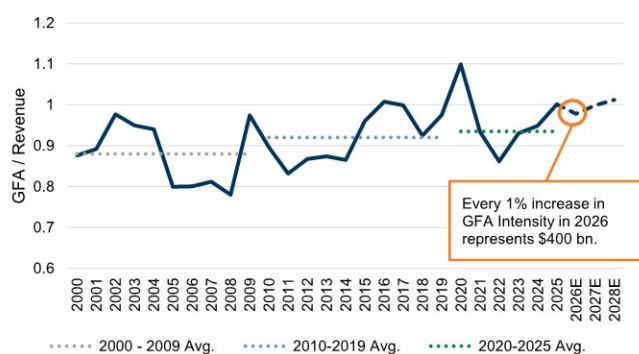
company balance sheets, we estimated that a 10% increase in global corporate inventory intensity would require roughly US\$400 bn of additional investment, while a 1% increase in gross fixed asset intensity would similarly imply around US\$400 bn of incremental spending. Notably, inventory intensity and asset intensity across listed companies are already above pre-pandemic levels, suggesting that elements of redundancy-building are already underway and that perhaps an acceleration may be needed vs. the 10% inventories / 1% gross fixed asset sensitivity. We highlighted examples including reshoring initiatives, strategic inventory buffers, dual-sourcing strategies and geographic diversification of production footprints.

Sector trends also suggest that resilience spending is becoming increasingly structural rather than cyclical. Since the pandemic, we have observed sustained increases in inventory intensity across capital goods, semiconductors, technology hardware, autos and pharmaceuticals as companies seek to reduce exposure to supply disruptions, component shortages and geopolitical risks. Similarly, utilities, telecom infrastructure and software companies have experienced significant increases in fixed asset investment as rising power demand, digital infrastructure requirements and reliability concerns drive broader infrastructure build-out.

Taken together, we believe these developments support a multi-year Reliability investment cycle, driven by the combination of geopolitical fragmentation, energy security concerns, accelerating power demand and growing physical climate risks. The investment implications extend beyond traditional sustainability beneficiaries and increasingly favor companies exposed to power and water infrastructure, critical materials, resource efficiency, automation, cybersecurity and climate adaptation solutions that help customers reduce outage risk and strengthen operational resilience.

Exhibit 4: Gross Fixed Asset intensity is near pre-pandemic highs

Gross Fixed Assets / revenues (2000–2028E) for all sectors (ex. Financials & Real Estate)

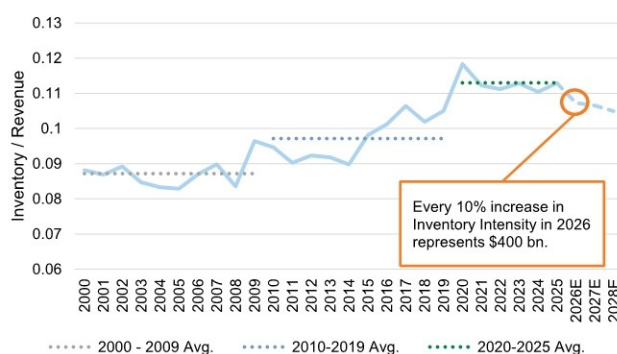


Full historical comparability for GFA could be impacted by change in lease accounting standards in 2019 (e.g., IFRS16, ASC 842)

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Inventory intensity increased in the 2010s and in the 2020s

Inventories / revenues (2000–2028E) for all sectors (ex. Financials & Real Estate)



Source: Company data, Goldman Sachs Global Investment Research

Building Asia resiliency amid super El Niño, broader physical risks

Investor/Polymaker/Corporate focus during Green Week

Climate resilience was one of the most frequently discussed themes during Hong Kong Green Week, with conversations centered on the growing economic costs of physical risks and the solutions required to maintain productivity, livelihoods and infrastructure reliability.

- **Heat stress and rising temperatures:** Participants highlighted growing focus on mitigation solutions as average temperatures continue to trend higher globally. Discussions centered on maintaining labor productivity, safeguarding public health and ensuring reliable building operations, with particular emphasis on HVAC, cooling, building retrofits and grid infrastructure upgrades. Rising cooling demand is increasingly being viewed as an adaptation necessity rather than a discretionary investment.
- **Potential Super El Niño and commodity security:** The emergence of a potential Super El Niño during the 2026–27 cycle was identified as a key risk for global food and commodity supply chains. Views from our [Commodities strategists](#) suggest the direct impact on crop production may be less important than the policy responses it triggers, including export restrictions, stockpiling and food-security measures. Sugar, palm oil and other commodities with concentrated supply bases were highlighted as particularly exposed, underscoring the importance of resilience measures to secure supply stability.
- **Water management and flood resilience:** Discussions also focused on increasing frequency and severity of extreme rainfall and flooding across China, Southeast Asia and Japan. Investors and policymakers highlighted growing needs for urban drainage upgrades, flood-control infrastructure, resilient water systems, wastewater treatment, storm water management and digital water solutions. As climate-related water risks become more frequent, investment in water management infrastructure is increasingly viewed as critical to both economic resilience and urban development.

Financing climate adaptation remains a key challenge. Across discussions with corporate executives, banks and development institutions, a recurring theme was that adaptation projects often struggle to compete for capital because their value proposition is centered on risk mitigation and loss avoidance, rather than generating visible future revenue streams. Unlike growth capex, where future cash flows can be more readily quantified, the benefits of adaptation investments are often measured by the costs avoided from future disruptions, making them more difficult to justify in boardroom capital allocation decisions. As a result, participants emphasized the need for **innovative incentives, risk-sharing mechanisms and financing structures** to help bridge the adaptation funding gap. Growing interest was expressed around dedicated adaptation-focused financing products, including adaptation bonds, resilience-linked financing and blended finance solutions involving public and development institutions. Such mechanisms could help improve project bankability, lower funding costs and accelerate investment in resilience measures across infrastructure, water systems,

cooling technologies and flood mitigation projects, particularly as physical climate risks continue to intensify across Asia.

Read-across from the First Five-Year Plan

One of the more notable aspects of the Five-Year Plan is the elevated importance placed on climate adaptation and resilience. Physical climate risks are no longer treated as a purely environmental challenge, but increasingly as an economic and infrastructure issue requiring long-term investment. The government's focus on flood prevention, drainage systems, coastal protection, water security and disaster preparedness reflects growing recognition of the costs associated with more frequent extreme weather events across Hong Kong and the broader region. The plan highlights a broad range of resilience initiatives, including:

- **Water infrastructure and flood management**, including drainage upgrades, rainwater management and coastal resilience projects.
- **Digital resilience solutions**, such as AI-based flood forecasting, predictive maintenance and digital infrastructure monitoring.
- **Climate-resilient urban planning**, integrating environmental protection, water security and infrastructure resilience into future city development.

We see these initiatives as broadly consistent with themes raised during Hong Kong Green Week, where discussions increasingly focused on adaptation measures that protect economic productivity, safeguard critical infrastructure and improve resilience to physical climate disruptions. Water management also features prominently, with ambitions to position Hong Kong as a regional platform for advanced water technologies, standards and services through Greater Bay Area cooperation.

Our outlook

We believe the growing realization of potential risks/impacts/opportunities from more extreme and rising global temperatures will serve to further investor and corporate focus on Adaptation. Verticals including HVAC, Water/Power Infrastructure, GPS/Mapping and Building Construction/Maintenance are more likely to see supportive tailwinds from adaptation investment, driven by meeting the overlap of:

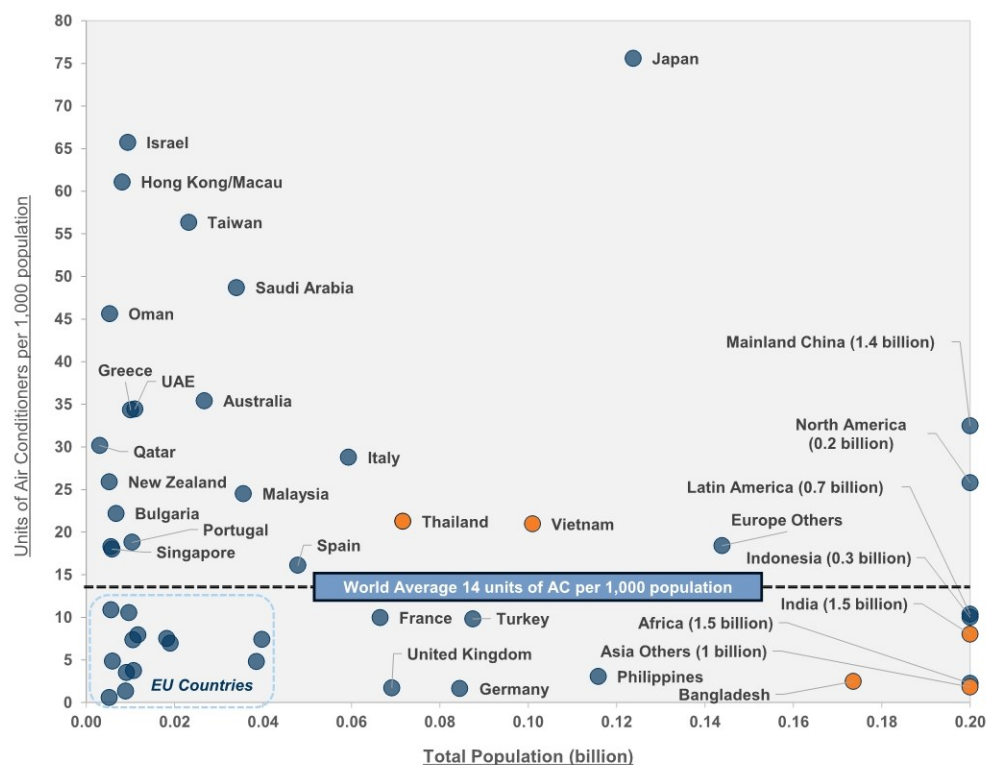
- **Hazard Recognition.** Certain hazards are likely to be more widely acknowledged by affected parties the more persistent they are, e.g., heat and drought. More transient hazards, e.g., floods, fires and hurricanes, do not impact most populations on a consistent basis and therefore may be less likely to trigger recognition of a need to invest in resilience. The perception of persistence and transience of these risks is likely to vary not just by hazard, but also by location.
- **Cost/Benefit Analysis.** Solutions which cost the least relative to the perceived risk of the hazards they address are likely to see greater demand, in our view. Solutions that require large infrastructure-scale investments with long pay-back periods and/or have marginal perceived benefits are likely to face greater hurdles to investment. For many customers, the willingness to pay for a given adaptation solution will likely vary according the perceived frequency and scale of a hazard and

can fluctuate over time. Products and services whose incremental demand is driven by a need to rebuild/recover after hazards will have the most inelastic demand, in our view.

- **Capacity to Pay.** The financial capacity to pay of prospective customers (Governments/Corporates/Individuals) is a critical consideration in determining which solutions are most likely to see near-term investment. Customers without the financial capacity to invest in adaptation solutions, despite their needs, will not drive demand for these products and services. Conversely, capacity to pay does not inherently guarantee that a customer will invest in adaptation solutions should they not recognize the reality of a hazard or the benefit of the solution.

Adaptation—along with broader EM economic growth—should add tailwinds for secular HVAC demand growth, particularly in developing markets. Rising global temperatures and the potential for more frequent heat waves are likely to be key contributing factors to a significant increase in demand for HVAC systems, particularly air conditioning, in our view. We expect this trend to lead to incremental energy consumption in the residential sector and put further upward pressure on power demand growth with risks of straining power grids during peak heatwave periods. We see multiple factors driving tailwinds for HVAC demand in Asia—higher/more volatile temperatures, progress of urbanization, household disposable income and population growth could drive greater HVAC density per capita. We currently see a significant disparity in HVAC intensity between developed and developing Asian economies, which could narrow if the key drivers mentioned above are seen disproportionately in emerging markets. **If India and Bangladesh were to see air conditioning intensity rise to the level of Thailand/Vietnam, this would imply 46 TWh of additional electricity demand. This would be the equivalent of adding another New Zealand, the 60th largest power-consuming country.**

Exhibit 6: We see rising temperatures potentially driving increased HVAC demand in Europe and Asia; India and Bangladesh, which both face risk of extreme temperatures and humidity, could see material HVAC increases also driven by broader economic/wage growth
Units of household air conditioner demand per 1,000 population by economy, 2024



Orange dots represent economies that would face significant temperature and humidity rises.

Source: Japan Refrigeration and Air Conditioning Industry Association, United Nations, McKinsey, Goldman Sachs Global Investment Research

We see a growing focus on Adaptation investment to build global agriculture system resiliency, driven by the priorities of Reliability to maintain stable global food supply amid rising temperature/more frequent extreme weather events, and Livelihood of both farming households and broader consumers. In [Exhibit 7](#), we quantify physical risk exposure of major agricultural products—corn, wheat, rice, soybean—produced in the US, China, India and Brazil. As per our February 2026 report, [Enabling Agricultural Resiliency](#), we highlight investment opportunities of agricultural resiliency with focus on eight emerging agricultural technologies that could see growing adoption ([Exhibit 8](#)), driven by the needs of more efficient application of agricultural inputs and to mitigate long term physical risks and climatic challenges: Biotech/Genomics Seeds, Enhanced Efficiency Fertilisers, Biopesticides, Agricultural Drones, Fertigation, Smart Irrigation, Autonomous Farm Equipment and Data Management & Monitoring. We believe the pace of technological deployment will be a function of: (a) how farmers view the deployment of proactive mitigation solutions (particularly for persistent hazards like Heat and Drought that are most relevant for agricultural production) vs. reactive disaster recovery; (b) implications for consumer costs; and (c) how consumers view Reliability vs. Affordability tradeoffs.

Exhibit 7: We highlight crop production in the US, China, India and Brazil exposed to higher physical risk and could potentially result in disruptions to global food supply chain

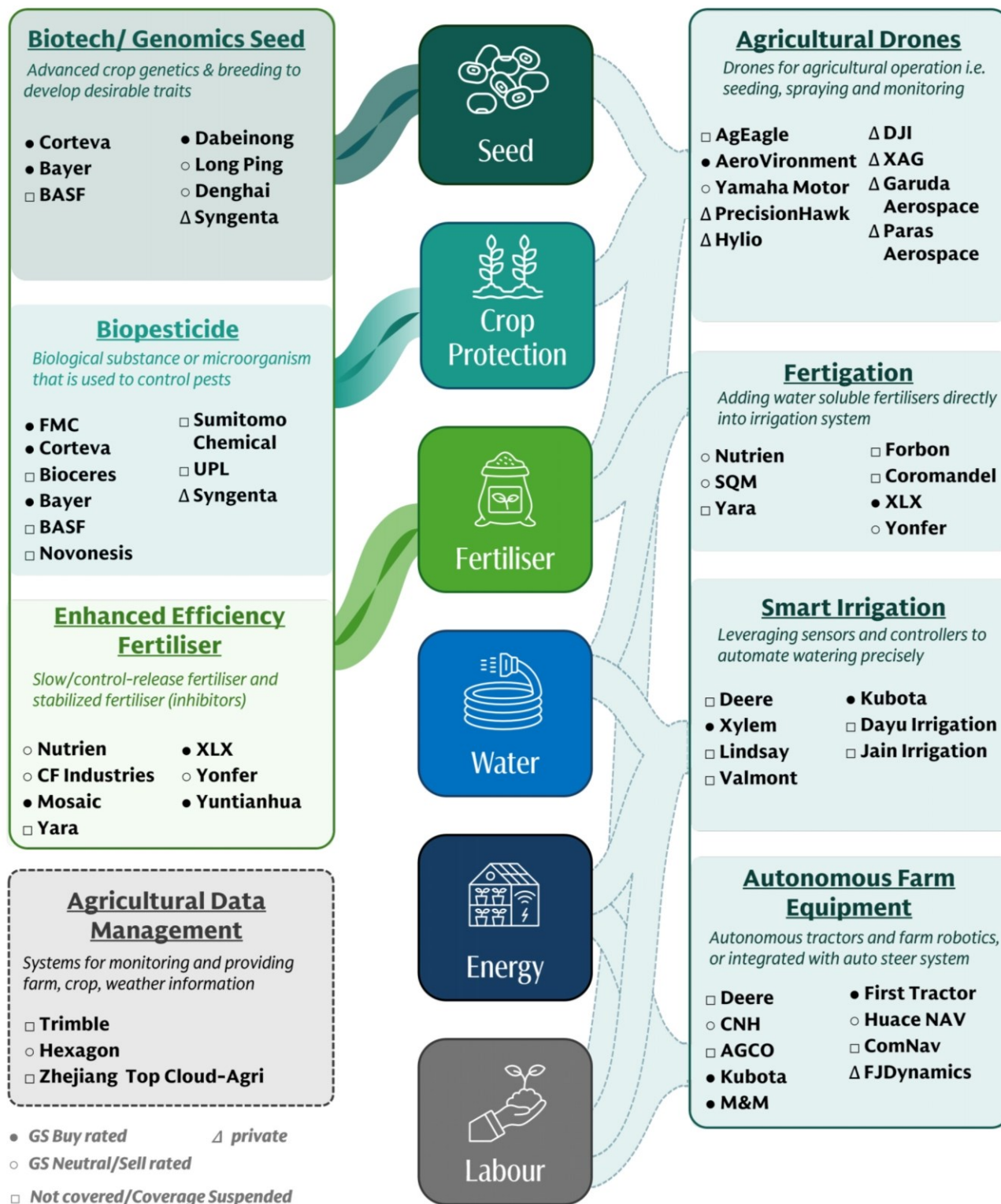
Crops Production Subject to Higher Physical Risk (million MT), based on 2024 production data from USDA

		Crops Production Subject to Higher Physical Risk (million MT)									
		Wildfire		Flood		Water Stress		Extreme Temperature		Heat Stress	
		(million MT)	% of global production	(million MT)	% of global production	(million MT)	% of global production	(million MT)	% of global production	(million MT)	% of global production
 Corn	Top 15 Countries	395	36%	62	6%	303	28%	115	11%	468	43%
	United States	4	1%	11	3%	59	16%	2	1%	65	17%
	China	36	12%	2	1%	8	3%	1	0%	28	10%
 Wheat	Top 15 Countries	342	47%	73	10%	192	26%	164	23%	369	51%
	China	21	15%	1	0%	1	1%	0	0%	23	16%
	India	14	12%	10	8%	16	14%	15	13%	15	14%
 Rice	Top 15 Countries	316	65%	188	39%	222	45%	200	41%	345	71%
	India	37	24%	29	19%	41	27%	36	24%	39	26%
	China	22	15%	7	5%	14	10%	9	6%	27	18%
 Soybean	Top 15 Countries	225	54%	19	5%	112	27%	76	18%	220	53%
	Brazil	50	30%	0	0%	11	6%	24	14%	43	25%
	United States	3	2%	3	3%	17	15%	1	1%	19	16%

Source: USDA, Goldman Sachs, Goldman Sachs Global Investment Research

Exhibit 8: We highlight select public and private companies across industries that have exposure to tailwinds from growing adoption of the eight featured agricultural technologies
Agricultural Resiliency Global Ecosystem

AGRICULTURAL Resiliency GLOBAL ECOSYSTEM

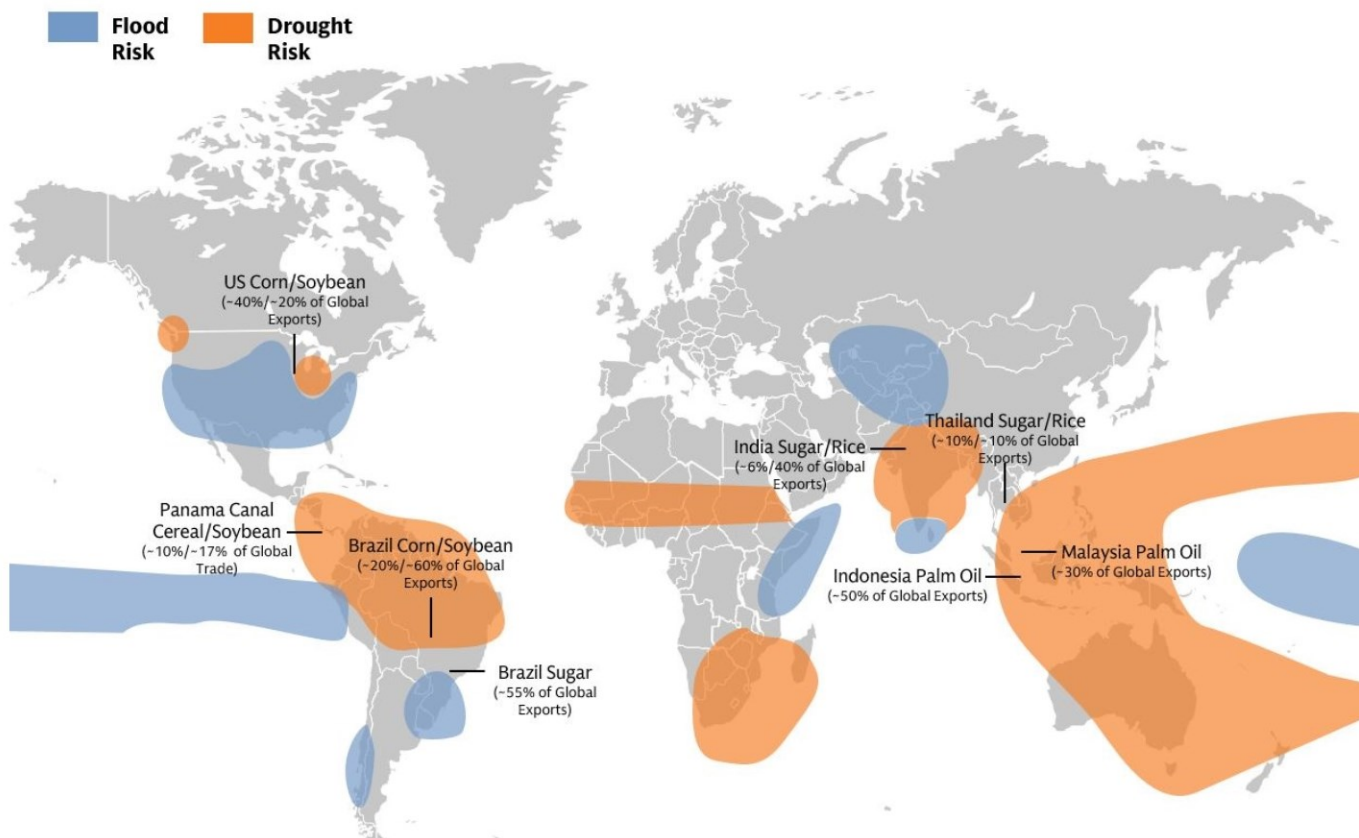


Source: Goldman Sachs Global Investment Research

Views from our commodities strategists: Super El Niño could test global food supply resilience

One climate risk repeatedly highlighted by our [Commodities team](#) is the emergence of a potential **Super El Niño**, with NOAA indicating a high probability that El Niño conditions strengthen into one of the strongest events on record during the 2026–27 cycle. While El Niño has historically shown a mixed relationship with aggregate global crop production, our strategists believe the current setup warrants closer attention given rising supply-chain concentration and a more protectionist global food trade environment. The key concern is not simply lower crop yields, but the potential for **simultaneous disruptions across multiple agricultural exporting regions**. Key views from our Commodities strategists:

- **El Niño could simultaneously disrupt multiple agricultural regions**, bringing drought conditions to India, Southeast Asia and parts of South America while increasing flood risks elsewhere, creating pressure across several key crop supply chains at the same time.
- **The bigger risk may be policy responses rather than crop losses**. Recent experience suggests export restrictions, stockpiling and food-security measures can remove more supply from global markets than the underlying weather impact itself, particularly in rice and sugar.
- **Sugar stands out as one of the most exposed commodities**. Around 70% of global sugar exports originate from Brazil, India and Thailand, all regions vulnerable to El Niño-related weather disruptions. Drought, flooding, higher ethanol demand and potential export restrictions could all tighten global sugar availability.
- **Supply concentration increases vulnerability**. For many agricultural commodities, the top three exporters account for 60–90% of global trade, meaning localized weather disruptions can have disproportionate impacts on international markets.
- **Soft commodities such as sugar and palm oil appear more at risk than broad crop markets**. Historical evidence suggests El Niño does not necessarily result in broad-based food inflation globally, but commodities with highly concentrated production footprints face greater upside price risks.

Exhibit 9: A Super El Nino Could Simultaneously Disrupt Multiple Crop Regions Through Severe Droughts and Floods


Source: Goldman Sachs Global Investment Research

Please see below for more details from our Commodities Research team:

- [Agriculture Analyst: Higher Barriers to Trade, Lower Barriers to Shocks: Hormuz, Black Sea and a Super El Niño](#)
- [Agriculture Analyst: Super El Niño Poses Risk to Concentrated Sugar Market: What to Watch](#)
- [Commodity Analyst: El Niño: Limited Global Crop Risk, Greater Exposure for Concentrated Softs](#)

Climate finance opportunities linked to cost and project competitiveness

Investor/Polymaker/Corporate focus during Green Week

Climate transition remains highly relevant for Asia, given the region accounts for roughly 60% of global greenhouse gas emissions and is expected to face some of the most significant physical impacts from climate change. At the same time, discussions during Hong Kong Green Week suggest investor focus has shifted from broad decarbonisation ambitions toward practical financing mechanisms that can support the transition while maintaining competitive economic growth. A notable takeaway was that most near-term opportunities continue to be concentrated in **bonds issuance**, where sustainable finance frameworks, green loans and transition-linked financing remain more established than in public equity investing. Multiple experts also emphasized the growing importance of **green taxonomies** as a foundation for scaling transition finance and improving market transparency. At the same time, participants highlighted that the role of regional taxonomies remains relatively narrow today. In many Asian markets, taxonomies are primarily used for **green bond and sustainable debt labeling**, with more limited application to corporate disclosures, transition planning, benchmark construction and equity investment frameworks.

Sustainable Aviation Fuel (SAF) emerged as another strategic transition theme, particularly given Hong Kong's role as a regional aviation and logistics hub.

Policymakers highlighted ambitions for Hong Kong to play a leading role in the decarbonisation of global aviation and freight transportation, leveraging its position as one of the world's largest cargo airports and an international logistics gateway. Similar to initiatives being pursued in Singapore and other aviation hubs, discussions focused on developing the policy frameworks, infrastructure and market incentives needed to scale SAF adoption across both cargo and commercial aviation. Many participants viewed SAF as one of the most practical decarbonisation pathways available to the aviation sector over the next decade, particularly given the limited near term alternatives for long-haul flights. However, panel discussions also highlighted a common challenge: while support for SAF deployment is broad, the economics remain difficult. The **green premium associated with SAF relative to conventional jet fuel continues to be a key barrier to adoption**, creating uncertainty around how costs should be shared among fuel suppliers, airlines, cargo operators and end customers. As a result, participants emphasized that policy support, demand-side incentives and market-based mechanisms will likely be necessary to accelerate SAF uptake and achieve the scale required to narrow cost differentials over time.

Read-across from the First Five-Year Plan

The Five-Year Plan suggests Hong Kong's transition agenda is becoming increasingly aligned with broader themes of energy security, industrial competitiveness and infrastructure deployment. While the plan reiterates its commitment to carbon reduction, the emphasis is notably on expanding the physical systems required to support decarbonisation, including grid infrastructure, clean power supply, hydrogen, sustainable aviation fuel (SAF) and low carbon transportation. Rather than focusing solely on emissions outcomes, policymakers increasingly frame climate transition as a pathway to strengthen energy resilience, maintain affordable power and support new growth sectors such as AI, advanced manufacturing and logistics.

We see three areas standing out from an investment perspective:

- **Grid efficiency and power infrastructure:** Rising electricity demand from electrification, data centers and AI development is driving greater focus on transmission, distribution and energy efficiency upgrades.
- **Hydrogen and new energy:** Hong Kong plans to establish internationally recognised green and low carbon hydrogen certification frameworks while positioning itself as a financing and commercialization platform for hydrogen technologies.
- **Sustainable aviation fuel and green logistics:** SAF received notable policy support, reflecting Hong Kong's ambition to maintain its competitiveness as a leading aviation and logistics hub while facilitating transport sector decarbonisation.

In our view, the plan reinforces a broader shift we have observed across Asia, where climate transition investment is increasingly being justified through the lenses of energy independence, infrastructure reliability and economic competitiveness, rather than emissions reduction alone.

Our outlook

We continue to see a healthy evolution in climate transition investing, shifting away from an exclusive focus on emissions accounting, disclosure requirements and theoretical transition pathway alignment toward a greater emphasis on real-world deployment and measurable outcomes. Discussions during Hong Kong Green Week suggest that decarbonisation is increasingly being evaluated through the lens of energy security, industrial competitiveness and infrastructure readiness, rather than carbon reduction alone. In our view, several climate transition verticals remain well positioned as governments and corporates pursue greater energy self-sufficiency while simultaneously supporting rising electricity demand from AI and data center development. Areas of focus include **(1) power grid and transmission upgrades to improve electricity efficiency and relieve network bottlenecks; (2) renewables and battery storage to reduce dependence on imported fossil fuels and enhance energy security; and (3) nuclear power, fuels and related components as countries reassess the role of reliable low carbon base load generation.**

Within Asia, however, discussions also highlighted growing concerns around **overcapacity across parts of the solar and battery supply chain**, which continues to weigh on industry profitability despite supportive long-term demand fundamentals. By contrast, sentiment was more constructive toward power equipment and infrastructure providers exposed to AI and data center investment, particularly companies helping address the increasingly critical "time-to-power" bottleneck emerging across the US and Europe. As hyperscalers and governments race to secure power capacity, we continue to see attractive opportunities among beneficiaries of grid modernization, electricity transmission and power system upgrades that enable both digitalization and decarbonisation objectives.

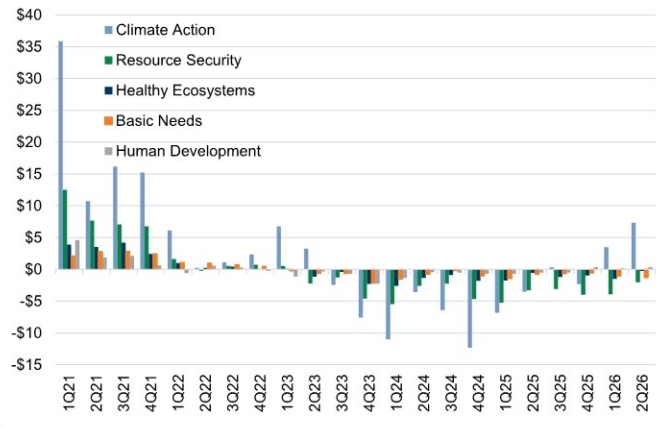
Thematic fund flows also point to renewed interest in transition-related themes.

Thematic funds recorded US\$4.9 bn of inflows in 2Q26, driven primarily by Climate Action funds (+US\$7.3 bn) with exposure to power infrastructure, grid equipment, transmission components and broader clean technology solutions. Notably, the Climate Action category has now recorded consecutive quarters of net inflows for the first time

in three years, suggesting improving investor engagement with transition-related opportunities.

Exhibit 10: Climate Action thematic funds saw consecutive quarterly inflows for the first time in 3 years

Quarterly flows (\$bn) by thematic sub-strategy (thematic sub-categories not mutually exclusive)



Source: Morningstar, Goldman Sachs Global Investment Research

Carbon pricing as growing risk for Asian exports with SMEs expected to face greater headwinds

Investor/Polymaker/Corporate focus during Green Week

Emissions trading systems and Carbon Border Adjustment Mechanisms (CBAM) emerged as recurring topics during Hong Kong Green Week, reflecting growing investor attention on how climate policy is increasingly intersecting with trade flows and corporate competitiveness. Discussions suggest that markets are moving beyond debates around carbon accounting and are increasingly focused on the practical implications of carbon pricing on supply chains, trade financing and international commerce. A key theme raised by several global banks was the need for new trade finance and risk management solutions that can help corporates navigate growing uncertainty around embedded emissions, carbon verification requirements and future carbon costs. Participants highlighted opportunities for innovative financing instruments that could integrate carbon data into trade transactions, helping companies manage compliance costs and improve transparency across supply chains.

Development finance institutions and multilateral agencies expressed concerns that CBAM compliance requirements may create disproportionate burdens for smaller companies. While large corporates are generally building internal capabilities around emissions measurement and disclosure, many SMEs continue to face significant challenges around carbon accounting, verification and data collection. For smaller exporters in particular, the cost of compliance may become a meaningful barrier to market access, especially where companies lack the resources or technical expertise required to demonstrate product-level emissions tracing. Companies that are unable to provide verified emissions data could face the risk of being assessed using **default emissions values for CBAM**, which are often higher than actual emissions levels and could therefore result in elevated carbon tax liabilities. As a result, capacity building, technical assistance and digital carbon accounting solutions were frequently identified as critical enablers to reduce compliance costs and support broader participation in international trade.

Read-across from the First Five-Year Plan

Hong Kong's Five-Year plan reinforces its ambition to become Asia's leading platform for sustainable finance, carbon markets and transition-related capital raising. While climate disclosure remains an important component of the sustainable finance ecosystem, the policy focus appears increasingly centered on mobilising capital and facilitating real-economy transition activity rather than expanding disclosure requirements alone.

A key strategic objective is the development of an international carbon market, supported by efforts to facilitate implementation of Article 6 carbon credit mechanisms under the Paris Agreement and strengthen Hong Kong's role in cross-border green finance. The government also highlights the need to further develop sustainable finance infrastructure, enhance transition finance capabilities and improve sustainable finance disclosure frameworks to attract international capital into decarbonisation projects.

Our outlook

We expect EU CBAM costs to rise more gradually for EM exports, but the long-term direction remains unchanged. Recent [EU ETS reforms](#) suggest CBAM costs are likely to

rise more gradually than previously expected, although the overall direction of travel remains intact. Following the July 2026 EU ETS review, the phase-out of free allocation for CBAM sectors would be extended from 2034 to 2038, effectively delaying full carbon-cost parity by four years. Our updated modeling suggests medium-term CBAM charges for steel and aluminium exporters could be approximately **5%-8% lower for steel and 8%-10% lower for aluminium during 2034-37** versus our January 2026 assumptions. The revisions ease, but do not remove, future carbon-cost pressure, with high-emissions exporters such as China and India remaining among the most exposed under the revised framework.

Exhibit 11: Potential Default CBAM Charges (US\$/tonne) for steel (HRC non-alloy Steel, CN 7208) by country

			China Country Specific	Türkiye Country Specific	India Country Specific	South Korea Country Specific	US Country Specific	Japan Country Specific	Global Average*
Default Value - Production Route			BF/BOF	BF/BOF	BF/BOF	BF/BOF	BF/BOF	BF/BOF	BF/BOF
A	Default Value - Direct Emissions	(tCO ₂ e/t steel)	3.19	2.43	4.28	2.12	1.40	2.10	4.05
	2026 (10% mark up)	(tCO ₂ e/t steel)	3.51	2.67	4.71	2.33	1.54	2.31	4.45
	2027 (20% mark up)	(tCO ₂ e/t steel)	3.82	2.91	5.14	2.54	1.68	2.52	4.86
	2028 onwards (30% mark up)	(tCO ₂ e/t steel)	4.14	3.16	5.56	2.75	1.82	2.73	5.26
B	EU CBAM benchmark emissions (2026-2030)	(tCO ₂ e/t steel)	1.37	1.37	1.37	1.37	1.37	1.37	1.37
C	Adjusted benchmark emissions after free allocation								
	Benchmark payable by CBAM, 2026 (B x 2.5%)	(tCO ₂ e/t steel)	0.03	0.03	0.03	0.03	0.03	0.03	0.03
	Benchmark payable by CBAM, 2027 (B x 5.0%)	(tCO ₂ e/t steel)	0.07	0.07	0.07	0.07	0.07	0.07	0.07
	Benchmark payable by CBAM, 2028 (B x 8.5%)	(tCO ₂ e/t steel)	0.14	0.14	0.14	0.14	0.14	0.14	0.14
	Benchmark payable by CBAM, 2030 (B x 41%)	(tCO ₂ e/t steel)	0.66	0.66	0.66	0.66	0.66	0.66	0.66
	Benchmark payable by CBAM, 2034-37 (B x 85%)	(tCO ₂ e/t steel)	1.16	1.16	1.16	1.16	1.16	1.16	1.16
	Benchmark payable by CBAM, 2038 (B x 100%)*	(tCO ₂ e/t steel)	1.37	1.37	1.37	1.37	1.37	1.37	1.37
D	Total emissions subject to CBAM payment (A - B + C)	(tCO ₂ e/t steel)							
	2026	(tCO ₂ e/t steel)	2.17	1.33	3.37	0.99	0.20	0.97	3.12
	2027	(tCO ₂ e/t steel)	2.52	1.61	3.83	1.24	0.38	1.22	3.56
	2028	(tCO ₂ e/t steel)	2.91	1.92	4.33	1.52	0.59	1.50	4.03
	2030	(tCO ₂ e/t steel)	3.44	2.45	4.86	2.05	1.11	2.02	4.56
	2034-37	(tCO ₂ e/t steel)	3.94	2.95	5.36	2.55	1.61	2.52	5.06
	2038	(tCO ₂ e/t steel)	4.14	3.16	5.56	2.75	1.82	2.73	5.26
	Total CBAM charge (D x US \$100 / tCO₂e)								
	2026	(US \$/t steel)	\$217	\$133	\$337	\$99	\$20	\$97	\$312
	2027	(US \$/t steel)	\$252	\$161	\$383	\$124	\$38	\$122	\$356
	2028	(US \$/t steel)	\$291	\$192	\$433	\$152	\$59	\$150	\$403
	2030	(US \$/t steel)	\$344	\$245	\$486	\$205	\$111	\$202	\$456
	2034-37	(US \$/t steel)	\$394	\$295	\$536	\$255	\$161	\$252	\$506
	2038	(US \$/t steel)	\$414	\$316	\$556	\$275	\$182	\$273	\$526
	Current Steel Price	(US \$/t steel)	460	585	610	620	1,185	600	-
	Implied steel price range if incremental CBAM charge fully passed through	(US \$/t steel)	\$677 to \$874	\$718 to \$901	\$947 to \$1,166	\$719 to \$895	\$1,205 to \$1,367	\$697 to \$873	-

Current steel price of each market represents domestic price and not necessarily the EU delivery price including freight *The average emissions intensity of the 10 exporting countries with the highest emission intensities with reliable data.

Source: European Commission, Goldman Sachs Global Investment Research

Exhibit 12: Potential Default CBAM Charges (US\$/ton) for aluminium (unwrought, CN 7601) by country

		China Country Specific	Türkiye Country Specific	India Country Specific	UAE Country Specific	US Country Specific	Bahrain Country Specific	Global Average*
<i>Default Value - Production Route</i>		<i>Primary</i>	<i>Primary</i>	<i>Primary</i>	<i>Primary</i>	<i>Primary</i>	<i>Primary</i>	<i>Primary</i>
A	Default Value - Direct Emissions	(tCO ₂ e/t al)						
	2026 (10% mark up)	(tCO ₂ e/t al)						
	2027 (20% mark up)	(tCO ₂ e/t al)						
	2028 onwards (30% mark up)	(tCO ₂ e/t al)						
B	EU CBAM benchmark emissions (2026-2030)	(tCO ₂ e/t al)						
C	Adjusted benchmark emissions after free allocation							
	Benchmark payable by CBAM, 2026 (B x 2.5%)	(tCO ₂ e/t al)						
	Benchmark payable by CBAM, 2027 (B x 5.0%)	(tCO ₂ e/t al)						
	Benchmark payable by CBAM, 2028 (B x 8.5%)	(tCO ₂ e/t al)						
	Benchmark payable by CBAM, 2030 (B x 41%)	(tCO ₂ e/t al)						
	Benchmark payable by CBAM, 2034-37 (B x 85%)	(tCO ₂ e/t al)						
	Benchmark payable by CBAM, 2038 (B x 100%)*	(tCO ₂ e/t al)						
D	Total emissions subject to CBAM payment (A - B + C)	(tCO ₂ e/t al)						
	2026	(tCO ₂ e/t al)						
	2027	(tCO ₂ e/t al)						
	2028	(tCO ₂ e/t al)						
	2030	(tCO ₂ e/t al)						
	2034-37	(tCO ₂ e/t al)						
	2038	(tCO ₂ e/t al)						
	Total CBAM charge (D x US \$100 / tCO₂e)							
	2026	(US \$/t al)						
	2027	(US \$/t al)						
	2028	(US \$/t al)						
	2030	(US \$/t al)						
	2034-37	(US \$/t al)						
	2038	(US \$/t al)						
	Current Aluminium Price**	(US \$/t al)						
	Implied aluminium price range if incremental CBAM charge fully passed through	(US \$/t al)						

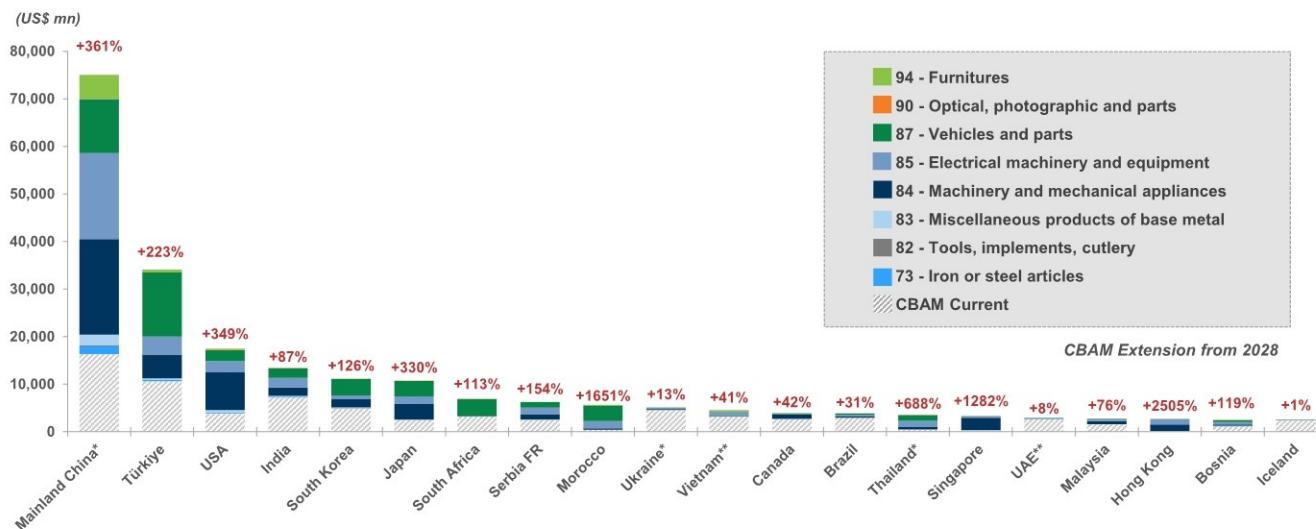
*The average emissions intensity of the 10 exporting countries with the highest emission intensities with reliable data. **We use LME aluminium price as basis for our analysis.

Source: European Commission, Goldman Sachs Global Investment Research

Downstream CBAM extension emerged as a key risk for EM manufacturers. Beyond the original CBAM sectors, we continue to see growing risks from the proposed downstream extension, which would broaden coverage from steel and aluminium products into machinery, electrical equipment, transport equipment and selected industrial goods. Depending on the final legislative outcome, covered imports could increase from roughly **US\$83 bn currently to US\$155-\$430 bn annually**, materially expanding exposure for major manufacturing exporters including China, Türkiye, India and South Korea. Importantly, following the position recently adopted by the European Parliament ahead of the trilogue negotiations, **passenger vehicles were excluded from the Parliament's formal position**, reducing the likelihood of the most expansive extension scenarios. As a result, we believe the eventual scope is likely to be closer to the European Commission and Council proposals, though still representing a meaningful expansion of CBAM exposure across downstream manufacturing value chains.

Exhibit 13: China, Türkiye and now the US would see the largest increase in value of goods covered under the EU CBAM downstream product extension

Top 20 non-EU27 economies by traded dollar value (\$ mn) of EU CBAM-covered goods after downstream extension (EU Council proposed version), latest available



*Economies with 2024 data due to data availability at World Bank; **Economies with 2023 data due to data availability at World Bank

Source: World Bank, Goldman Sachs Global Investment Research

EU CBAM would have limited implications for Article 6 markets. EU policymakers are increasingly moving toward a framework where Article 6 credits cannot be used to offset CBAM payment obligations as proposed by EU Parliament, reinforcing CBAM's function as a border carbon pricing mechanism linked directly to the EU ETS rather than the voluntary carbon market. Instead, developments in the UK CBAM framework may prove more relevant for exporters. The UK has formally moved to recognize several overseas compliance carbon-pricing schemes, including China's ETS, India's Emission Intensity Scheme, Japan's GX ETS and K-ETS, as eligible third country carbon pricing regimes when calculating UK CBAM obligations. However, the deductible amount remains limited, as only carbon costs actually incurred and paid within the originating jurisdiction are eligible for offset against CBAM liabilities. In our view, this increases the importance of domestic carbon pricing systems and emissions verification infrastructure, while reducing the likelihood that international carbon-credit markets become a major compliance solution for CBAM-exposed trade flows.

Potential beneficiaries of Reliability theme and increased redundancy

We continue to see favorable tailwinds for stocks exposed to the Reliability investment cycle—driven in part by redundancy building to mitigate outage risk and in part by AI/data center-driven demand growth. We reiterate our bullish outlook on Power/Water Infrastructure, Physical Risk Mitigators, Critical Materials (including metals recycling), Skilled Labor Scalars, Automation and Cybersecurity.

Below we highlight 24 stocks Buy-rated by our analysts featured for the Reliability theme from our Reliability and Adaptation reports.

Exhibit 14: Select Buy-rated Reliability stocks—APAC

Stocks below are Buy-rated, with revenue exposure to Power & Water Infrastructure, Physical Risk Mitigation, Critical Materials, Efficiency and Automation, Cybersecurity, Skilled Labor Scalars with corporate cash return on cash invested above industry regional or global peers

Company Details				Reliability Thematic Exposure						Products & Services Thematic Relevance
Ticker	Company Name	Market	Market Cap, \$bn	 Power/Water Infrastructure	 Physical Risk Mitigation	 Critical Materials	 Efficiency & Automation	 Cyber Security	 Skilled Labor Scalars	
002385.SZ	Dabeinong	China	2.0		✓					Animal feed and seeds
002837.SZ	Shenzhen Envicool	China	12.1	✓	✓					Data center cooling solutions
002518.SZ	Shenzhen Kstar	China	3.5	✓	✓					UPS, energy storage solutions
000921.SZ	Hisense	China	5.1		✓					Consumer electronics and appliances
002271.SZ	Oriental Yuhong	China	3.7		✓					Waterproofing materials and solutions
5803.T	Fujikura	Japan	56.0				✓			Cables, optical fibers
5802.T	Sumitomo Electric	Japan	42.1	✓	✓		✓			Electric wires and cables
0358.HK	Jiangxi Copper	China	19.8			✓				Copper production and processing
002475.SZ	Luxshare Precision	China	62.9				✓			Consumer electronics components
6669.TW	Wiiwynn	Taiwan	37.7				✓			Cloud computing infrastructure
LYC.AX	Lynas Rare Earths	Australia	10.0			✓				Rare earth materials production
6503.T	Mitsubishi Electric	Japan	69.1				✓			Electrical and electronic products
3993.HK	CMOC Group	China	53.5			✓				Molybdenum, tungsten, copper mining
6501.T	Hitachi	Japan	159.7	✓	✓		✓			IT, energy, industry, mobility
6098.T	Recruit Holdings	Japan	162.9						✓	HR, marketing, staffing services
6383.T	Daifuku	Japan	13.2				✓			Material handling systems
5805.T	SWCC	Japan	2.6	✓	✓					Electric wires/cables and power equipment
000333.SZ	Midea Group	China	95.7		✓					Home appliances and robotics
600406.SS	NARI Technology	China	26.5	✓	✓		✓			Power grid automation
6368.T	Organo	Japan	3.7		✓		✓			Water treatment systems
300124.SZ	Shenzhen Inovance	China	21.3	✓	✓		✓			Industrial automation solutions
6370.T	Kurita Water	Japan	5.6		✓		✓			Water treatment chemicals
300750.SZ	CATL	China	223.8	✓	✓					Battery, back-up power and ESS
STEG.SI	ST Engineering	Singapore	26.2		✓			✓		Smart city, urban solutions and cybersecurity

Initial filtering criteria include: GS Rating: Buy; Headline E&S rank >20%; Global Governance rank >20%; Prices as of market close on 9/21/2026.

Source: Bloomberg, Refinitiv Eikon, FactSet, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Xavier Zhang, Brian Singer, CFA, Evan Tylanda, CFA, Brendan Corbett and Grace Chen, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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